

For example, let's say you earn Rs 50,000/month:

Investing

If you've decided to invest ₹ 5,000 per month, set it up right away. You can do this by starting an SIP investment within a day or two of receiving your salary. For other types of investments, make arrangements promptly.

Essential Expenses

Allocate ₹ 30,000 for rent, utilities, and groceries. This ensures your necessary bills are covered.

Financial Goals

If you have financial goals, like saving for a vacation, allocate ₹ 7,000 for that purpose. This allocation sets aside money for your dreams.

Personal Wants

The remaining ₹ 8,000 is yours to spend on personal wants, be it eating out, clothes, or other desires.

Monthly Spending

Monthly Salary: ₹ 50,000

Monthly SIP: ₹ 5,000

Expenses: ₹ 30,000

Rent: ₹ 20,000
Utilities: ₹ 6,000
Groceries: ₹ 4,000

Financial Goals: ₹ 7,000

Trip to Bali: ₹ 7,000

Personal Wants: ₹ 8,000

Shopping: ₹ 4,000
Restaurants: ₹ 2,000
Entertainment: ₹ 2,000

After making your allocations, review your spending at the end of the month. See where you stayed on budget and where you might have overspent. This analysis helps you make changes for the next month. Remember, the goal is to be in control of your money, and the Pay Day Plan ensures that your financial priorities are taken care of first.